



SALESFORCE ACQUISITION OF HUBSPOT

CONFIDENTIAL M&A ADVISORY MEMORANDUM FIN 232A MERGERS &
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I. Executive Summary

Description of Transaction

This memorandum presents a comprehensive M&A advisory analysis of a proposed acquisition of HubSpot, Inc. (NYSE: HUBS) by Salesforce, Inc. (NYSE: CRM). The transaction is classified as a horizontal merger in terms of product market, with a market-extension dimension at the customer-segment level. Three tests support the horizontal product-market classification: product substitutability is high, as both vendors sell competing Marketing, Sales, and Service Cloud modules that buyers routinely evaluate against one another in RFPs; functional overlap is meaningful within HubSpot's upper Professional and Enterprise tiers, which compete directly for the same mid-market accounts Salesforce targets with its Essentials and Starter SKUs; and pricing overlap exists in the \$50–\$150 per seat per month band where the two product lines actively cross-quote. At the customer-segment level, however, the segmentation skew is pronounced (Salesforce enterprise, HubSpot SMB), and revenue cannibalization risk is contained to the narrow mid-market overlap band rather than spanning either company's core base. This dual characterization is consistent with how regulators and strategic acquirers approach SaaS combinations: antitrust review focuses on the horizontal product market (CRM software), where the combination warrants scrutiny, while deal economics are driven by the market-extension dimension, where limited customer overlap supports the synergy and growth thesis without material cannibalization.

This pairing was identified through a structured screening of publicly traded US software companies applying four criteria: minimum market capitalization of \$5 billion; direct market overlap with Salesforce's core CRM franchise; a strategic rationale neither company could replicate organically within a reasonable timeframe; and a deal size financeable without jeopardizing investment-grade credit. Three plausible alternatives were considered and rejected: Workday (rejected due to limited CRM overlap and a \$73 billion market cap that would have stretched financing); ServiceNow (rejected because its IT workflow positioning would not close Salesforce's SMB gap); and Klaviyo (rejected because its e-commerce concentration is too narrow to anchor a category-defining SMB platform, despite an attractive entry multiple). HubSpot emerged as the most analytically compelling target due to its fiscal year 2026 EBIT profitability inflection, its 200,000+ customer base, and its market-implied enterprise value of \$12.2 billion, which trades at 3.9x NTM revenue against a SaaS peer median of approximately 4.6x and a mature large-cap SaaS benchmark closer to 5.5x, leaving room for a control premium without underwriting peak multiples. Salesforce was selected as the acquirer based on its structural gap in the SMB segment, \$14.4 billion in annual free cash flow, and demonstrated capacity to execute large transformative acquisitions, including Slack (\$27.7B, 2021) and Tableau (\$15.7B, 2019). The proposed bid range of \$16.0 to \$18.0 billion (\$17.0 billion midpoint) implies a per-share price of approximately \$302 and a 25 to 30 percent premium to HubSpot's trading price of \$262.06. The recommended structure is a 100 percent cash offer funded through deployment of Salesforce's available cash balance and approximately \$10.4 billion in new acquisition debt. The bid bridges from the \$6.8 billion standalone DCF floor, plus an estimated \$3.0 to \$3.5 billion present value of run-rate synergies, plus a control premium consistent with comparable strategic SaaS transactions, landing within the trading comps range of \$12.6 to \$18.6 billion. At \$14.4 billion in annual free cash flow, Salesforce could in principle retire the new debt within roughly one year, although in practice a realistic capital allocation waterfall, retaining the existing dividend, share repurchases, and reinvestment, extends full repayment closer to two to three years. The conclusion is robust to that realism: even under a stressed scenario in which combined FCF declines 25 percent and only 50 percent of remaining FCF is allocated to debt service, total leverage stays below 2.0x EBITDA. Option A also eliminates permanent shareholder dilution and produces a nearly neutral GAAP EPS impact by 2030. The near-term GAAP dilution reflects non-cash purchase price amortization rather than underlying cash economics, and on a cash earnings basis the deal generates positive returns from year one as HubSpot's \$708 million FCF is immediately consolidated. Investor reaction to reported EPS dilution remains a real risk, given that equity markets often anchor to GAAP earnings; this is mitigated through transparent disclosure of cash EPS, the limited duration of the dilution profile, and the strategic value of

acquiring the SMB CRM category leader permanently, which is not captured in any single-year EPS comparison.

Overview of HubSpot (Target)

HubSpot was founded in 2006 and pioneered the inbound marketing category. The company offers a unified CRM platform spanning marketing automation, sales engagement, customer service, content management, and operations tools across five integrated Hubs, all sharing a single CRM database. Fiscal 2026 marked the company's first year of EBIT profitability at \$11.4 million, confirming the scalability of its business model after a decade of investment-phase growth.

HubSpot Key Statistics — LTM ending Q1 2026 (Source: FactSet)	Value	Note
Revenue (FY2026)	\$3,131M	19.1% YoY growth
EBITDA (FY2026)	\$176M	5.6% margin; first positive EBITDA year
EBIT (FY2026)	\$11M	0.4% margin; first profitable year
Free Cash Flow (FY2026)	\$708M	22.6% FCF margin
Market Cap	\$13,821M	52.74M shares × \$262.06
Market-Implied EV	\$12,157M	Market cap + debt – cash
Standalone DCF EV	\$6,817M	Pre-synergy; WACC 12.87%, g=3.5%

Overview of Salesforce (Buyer)

Salesforce is the world's leading CRM platform with \$41.5 billion in revenue for fiscal 2026, generating \$14.4 billion in annual free cash flow and carrying \$9.6 billion in cash and short-term investments, providing ample capacity to fund a large acquisition.

Salesforce Key Statistics — Fiscal Year Ended January 31, 2026 (Source: FactSet)	Value	Note
Revenue (FY2026)	\$41,525M	9.6% YoY growth
EBITDA (FY2026)	\$12,548M	30.2% margin
EBIT (FY2026)	\$8,917M	21.5% margin
EPS Diluted (FY2026)	\$8.45	956M diluted shares (model date)
Free Cash Flow (FY2026)	\$14,402M	Strong M&A capacity
Cash & ST Investments	\$9,565M	From JAN'26 balance sheet
Total Debt	\$15,262M	From JAN'26 balance sheet

Note on fiscal year alignment: HubSpot reports on a calendar fiscal year ending December 31, while Salesforce's fiscal year ends January 31. Throughout this memorandum, "FY2026" refers to each company's most recently reported full fiscal year — HubSpot's year ended December 31, 2025 (extended to LTM data available through Q1 2026), and Salesforce's year ended January 31, 2026. The one-month offset between the two reporting periods is immaterial to the valuation, synergy, and merger consequence analyses that follow, but is noted here for transparency.

Strategic Rationale and Key Synergies

The acquisition addresses Salesforce's most significant strategic gap: the SMB and mid-market segment, where HubSpot is the category leader. Run-rate synergies of \$200 million in revenue and \$250 million in cost savings are estimated by 2028, driven by cross-selling Salesforce's Agentforce AI to HubSpot's 200,000+ customers and eliminating duplicative infrastructure.

Proposed Bid Range

The recommended bid is \$16.0 to \$18.0 billion (\$17.0 billion midpoint), representing a 25 to 30 percent premium to the current trading price. The recommended structure is a 100 percent cash offer, funded through deployment of Salesforce's available cash balance and approximately \$10.4 billion in new acquisition debt. Salesforce's \$14.4 billion in annual free cash flow provides ample debt service capacity, with full repayment expected within two to three years under a realistic capital allocation framework that preserves the existing dividend and a baseline share repurchase program. The structure eliminates permanent dilution to existing shareholders.

Investment Highlights

Revenue momentum: HubSpot has grown revenue from \$883 million in FY2021 to \$3,131 million in FY2026, a five-year CAGR of approximately 29 percent, demonstrating consistent and durable demand for its unified CRM platform.

Profitability inflection: FY2026 was HubSpot's first year of EBIT and net income profitability, with free cash flow of \$708 million at a 22.6 percent FCF margin, confirming the scalability of the business model and signaling a classic re-rating opportunity.

Platform breadth and switching costs: The HubSpot CRM Suite spans marketing, sales, service, content, and operations in a unified database, significantly raising customer switching costs and driving strong net revenue retention above 100 percent.

Gross margin quality: HubSpot maintained a gross margin of 83.8 percent in FY2026, reflecting the high-quality, scalable nature of its SaaS revenue and providing substantial operating leverage as volumes grow.

Clean balance sheet: Total debt of \$39.7 million means HubSpot contributes a nearly unlevered balance sheet, providing maximum financial flexibility post-acquisition.

Complementary customer segments: HubSpot's 200,000+ SMB and mid-market customers are structurally additive to Salesforce's enterprise concentration, expanding the combined addressable market with limited revenue cannibalization confined to the narrow mid-market overlap band.

AI monetization optionality: HubSpot's Breeze AI layer provides a distribution channel for Salesforce's Agentforce and Data Cloud into an SMB customer population Salesforce has never previously been able to reach.

Key Risks and Mitigating Factors

Integration complexity: Merging two distinct product architectures carries significant execution risk, distinct from precedent. Tableau and Slack were both single-product acquisitions integrated into Salesforce's existing platform; HubSpot is a multi-product CRM suite with a separate database architecture and a different GTM model, which raises both technical (database harmonization, identity, billing) and commercial (price-book overlap, SMB sales motion) integration complexity above the precedent baseline. Mitigant: a dedicated integration management office would be established with direct CFO oversight, with the first 18 months focused on backend harmonization while HubSpot operates as a standalone unit, deferring full platform consolidation until customer-facing risk is contained.

Customer base disruption: HubSpot customers chose the platform for its simplicity; post-acquisition repositioning risks SMB churn. Mitigant: HubSpot would be maintained as a standalone brand with a separate SMB go-to-market motion for at least three years, insulating the customer experience from enterprise complexity. This deliberately delays the realization of approximately \$80 to \$100 million per year of duplicative G&A, sales, and back-office cost synergies that would otherwise be available in years one and two, reducing run-rate cost synergies from \$250 million to roughly \$150 million through 2028. This is an explicit value trade reflected in the synergy ramp assumed in the merger consequence analysis, and is the right trade given that even a 2 to 3 point excess churn in HubSpot's customer base would erase more value than the deferred cost savings would create.

Valuation premium risk: At \$17 billion, Salesforce pays a meaningful premium to the \$6.8 billion standalone DCF. Mitigant: of the approximately \$10.2 billion gap, roughly \$3.0 to \$3.5 billion is supported by the after-tax NPV of run-rate cost and revenue synergies, with the remainder representing a control premium and the scarcity value of the only standalone SMB CRM platform at scale. Trading comps support a range of \$12.6 to \$18.6 billion, confirming the bid is within market-supported parameters without requiring the acquirer to underwrite peak-era transaction multiples.

Regulatory scrutiny: A CRM combination may attract antitrust review given combined market share. Combined US CRM market share would be approximately 30 to 33 percent, well below the level at which the DOJ or FTC has historically blocked horizontal software deals (the Visa/Plaid challenge at over 50 percent, Adobe/Figma blocked at near-monopoly in interactive design). Data concentration is a more meaningful concern, as the combined entity would aggregate first-party customer data across enterprise and SMB segments; this is the angle a Microsoft acquisition of HubSpot would face most acutely given Microsoft's adjacent dominance in productivity and identity. Mitigant: the two companies serve substantially different customer segments, enterprise versus SMB, limiting horizontal overlap, and the dominant Marketing Cloud overlap could be addressed through targeted product line divestitures consistent with the Microsoft/Activision and Adobe/Magento remedy precedents.

Talent retention risk: Key co-founders and executives may not remain post-acquisition, risking product vision continuity and cultural erosion. Mitigant: Salesforce would convert all unvested HubSpot stock options and RSUs into equivalent Salesforce awards at closing, preserving existing vesting schedules and immediately aligning employee interests with Salesforce's post-merger performance. Key executives would additionally receive cash retention packages with two to three year cliff vesting, consistent with Salesforce's approach in prior large acquisitions including Tableau and Slack. This dual mechanism provides both continuity incentive and financial alignment without relying on deal-consideration stock.

Near-term EPS dilution: The transaction is dilutive to Salesforce GAAP EPS in the near term under the all-cash structure. Mitigant: dilution narrows from (10.8%) in 2026 to roughly breakeven in 2027 and turns accretive by 2028, reaching approximately +3.3% accretion by 2030 as synergies ramp and HubSpot's earnings contribution grows. The first-year GAAP dilution is significantly overstated in economic terms, as it includes \$746.7 million in non-cash purchase price amortization. On a cash earnings basis the deal is accretive from year one, as HubSpot's \$708 million in free cash flow is immediately consolidated into Salesforce's financials upon closing. Investor reaction to reported GAAP EPS dilution remains a real risk because equity markets often anchor to GAAP earnings; this would be managed through transparent disclosure of cash EPS, prominent communication of the cross-over timing, and disciplined integration milestones to validate synergy delivery.

II. Target Company History and Business Overview

HubSpot, Inc. was founded in 2006 by Brian Halligan and Dharmesh Shah, who met as graduate students at MIT. The company pioneered the concept of inbound marketing, attracting customers through useful content rather than interruptive advertising. HubSpot went public on the NYSE in October 2014 and has since evolved from an early-stage marketing vendor into a comprehensive CRM platform covering marketing automation, sales engagement, customer service, content management, and operations, serving 200,000+ customers across 120+ countries.

HubSpot's five integrated Hubs, covering Marketing, Sales, Service, Content, and Operations, all share a unified CRM database, a key architectural differentiator that eliminates the data silos common in multi-vendor software stacks. The freemium model with Starter, Professional, and Enterprise tiers drives a land-and-expand customer motion. In 2024, HubSpot launched its Breeze AI intelligence layer, adding generative AI capabilities across all Hubs.

Principal strengths include ease of use and rapid time-to-value relative to enterprise competitors, an all-in-one platform that reduces vendor fragmentation, a strong partner ecosystem with 1,500+ marketplace integrations, and a proven go-to-market engine for SMB buyers. Key weaknesses

translate directly into deal considerations: limited enterprise functionality depth relative to point solutions caps upmarket revenue synergies, since the cross-sell to Salesforce's enterprise base is realistically confined to mid-market accounts; elevated stock-based compensation that suppressed GAAP profitability through FY2025 creates an SBC-driven dilution headwind that Salesforce must reset post-close; and geographic concentration in North America and Western Europe means international revenue synergies require Salesforce to deploy its existing EMEA and APAC distribution, with execution risk during the integration window.

HubSpot became particularly attractive for acquisition at this juncture for three converging reasons. First, its FY2026 EBIT profitability inflection marks a classic acquisition moment in SaaS, observed empirically in deals such as Adobe's acquisition of Marketo (2018, just as Marketo crossed into operating profit) and Microsoft's acquisition of LinkedIn (2016, shortly after LinkedIn's operating-income inflection), where the business model is proven at scale but the market has not yet fully re-rated the stock to reflect a mature, profitable SaaS company. Second, its market-implied enterprise value of \$12.2 billion represents a meaningful discount to the implied value of a comparably scaled mature SaaS business, creating room for an acquirer to pay a control premium while still generating positive returns. Third, the absence of a controlling shareholder makes a negotiated transaction structurally viable without triggering a poison pill or requiring supermajority approval.

III. Market Overview

HubSpot operates primarily in the customer relationship management software market, encompassing marketing automation, sales force automation, and customer service platforms. The global CRM market was valued at approximately \$73 billion in 2023 and is projected to reach \$157 billion by 2030, growing at a compound annual growth rate of approximately 11.5 percent (Source: Gartner CRM Forecast and Fortune Business Insights, 2024), driven by accelerating digital transformation, AI integration, and continued migration from legacy on-premise systems to cloud-native SaaS platforms. The broader marketing technology stack in which HubSpot participates through its Content and Operations Hubs represents an additional addressable market exceeding \$500 billion globally (Source: IDC Worldwide Customer Experience Spending Guide).

Historically, the CRM market grew from approximately \$25 billion in 2015 to \$73 billion in 2023, a compound annual growth rate of approximately 14 percent, driven by enterprise cloud adoption. Growth is expected to moderate toward 11.5 percent annually through 2030 as the market matures, but the SMB segment, where HubSpot is concentrated, continues to grow faster than the enterprise segment as cloud-native tools democratize CRM capabilities previously available only to large organizations.

Key demand drivers include the integration of artificial intelligence into customer engagement workflows, the growing importance of first-party customer data as third-party cookie-based tracking is curtailed by privacy regulation, and the increasing pressure on revenue teams to demonstrate quantifiable ROI from technology investment. These trends favor platform vendors like HubSpot and Salesforce that can offer unified data environments and AI-native capabilities, and represent a structural headwind for disconnected point solutions.

Porter's Five Forces Analysis

Threat of New Entrants: Moderate. Significant barriers exist in the enterprise segment through deep workflow integrations, multi-year contracts, and high switching costs. In the SMB segment, cloud infrastructure has reduced the cost to build SaaS applications significantly. The proliferation of AI-native startups delivering narrow CRM functionality at low cost represents an emerging threat, though full-platform replication remains difficult.

Bargaining Power of Buyers: Moderate to High. Enterprise buyers exercise significant power given large contract sizes and multiple competing platforms. In the SMB segment, buyers comparison-shop

actively using review platforms. Once embedded, however, switching costs are high as historical data, trained workflows, and user habits create meaningful lock-in.

Bargaining Power of Suppliers: Low. Primary inputs are cloud infrastructure from AWS, Azure, and GCP, software labor, and AI model access. HubSpot and Salesforce operate at sufficient scale to negotiate favorable pricing and have invested in proprietary AI capabilities to reduce third-party model dependence.

Threat of Substitute Products: Moderate. Credible substitutes include purpose-built vertical solutions for specific industries, such as Veeva for life sciences or ServiceTitan for field service. The AI-as-agent paradigm also poses a longer-term substitution risk if AI agents can orchestrate customer interactions without dedicated CRM workflow software.

Competitive Rivalry: High. The CRM market features intense competition at every segment. Microsoft's Copilot AI integration within Dynamics 365 and its embedded position in enterprise IT stacks makes it the most formidable long-term competitor, and creates a credible interloper risk: if news of the transaction reaches Microsoft, a competing bid 10 to 15 percent above the proposed price would still be value-creating for Microsoft given its productivity-data synergies, and Salesforce's response would likely be to match rather than retrade. This is the primary reason a targeted direct negotiation, not a broad auction, is recommended. Rivalry is intensifying as every major vendor accelerates AI investment and acquires capabilities to compete more broadly. The net implication for this deal is mixed: high rivalry caps standalone pricing power and pressures the DCF, but it also raises the strategic value of platform consolidation, supporting both the bid premium and the post-deal margin expansion thesis that drives the synergy case.

IV. Key Competitors

HubSpot competes in a landscape spanning enterprise software giants and focused SaaS vendors. The following table presents key statistics for the most relevant competitors, all sourced from FactSet.

Company	Ticker	Revenue (\$M)	EV (\$M)	EBITDA Margin	Market Served	Key Differentiator
Salesforce	CRM	\$41,525	\$194,700	30.2%	Enterprise CRM	Full platform; Agentforce AI; global distribution
Microsoft Dynamics	MSFT	\$245,122 (co.)	\$2.9T (co.)	N/A	Enterprise all markets	M365/Teams integration; Copilot AI capabilities
SAP	SAP	41,636	\$194,270	32%	Large enterprise ERP+CRM	Deep ERP integration; global enterprise presence
Freshworks	FRSH	\$839	\$3,300	N/M	SMB / mid-market	Ease of use; freemium model; comparable SMB focus
Klaviyo	KVYO	\$1,234	\$8,400	N/M	E-commerce marketing	Deep Shopify integration; e-com vertical expertise

Sources: FactSet, company filings. Microsoft revenue and EV reflect consolidated entity.

Salesforce is the global CRM market leader and proposed acquirer. Its FY2026 revenue of \$41.5 billion and EBIT of \$8.9 billion reflect dominant enterprise positioning, though its platform complexity makes it structurally uncompetitive in the SMB segment without HubSpot. The CRM software market served by Salesforce's core products is estimated at \$35 to \$40 billion, growing at approximately 10 percent annually. Microsoft Dynamics 365 is the most credible strategic threat and likely alternative acquirer, as its Copilot AI integration across Microsoft 365 and Teams represents the most significant competitive

development in the market. The market addressed by Dynamics overlaps substantially with Salesforce's, covering large enterprise CRM and ERP with an embedded installed base advantage. Freshworks is the most directly comparable competitor to HubSpot in the SMB segment with approximately \$839 million in revenue for FY2025, serving the same sub-\$500 million revenue business customer profile at comparable price points. Klaviyo's e-commerce specialization and strong growth trajectory illustrate the broader threat from vertical-specific competitors eroding HubSpot's horizontal platform strategy.

V. Management Team

HubSpot is led by Chief Executive Officer Yamini Rangan, who assumed the role in September 2021 after serving as President and COO. Under Rangan's leadership, HubSpot executed the strategic repositioning from marketing software vendor to full CRM platform, expanded its enterprise tier, and achieved first-year EBIT profitability in FY2026. Co-founder Brian Halligan serves as Executive Chairman, providing strategic direction. Co-founder and CTO Dharmesh Shah remains central to product philosophy and led the Breeze AI platform development. CFO Kathryn Bueker has overseen capital allocation discipline, guiding the company from loss-generating to sustainably cash generative.

Management effectiveness over the five-year period from FY2021 through FY2026 is assessed through three financial metrics. Operating cash flow grew from \$239 million in FY2021 to \$761 million in FY2026, a compound annual growth rate of approximately 26 percent. Free cash flow expanded from \$210 million to \$708 million over the same period, with FCF margin rising from 16.1 percent to 22.6 percent. Return on equity turned positive for the first time in FY2025 as the company approached net income break-even, reaching approximately 2.2 percent in FY2026 on common equity of \$2,066 million, a modest figure reflecting the accumulated losses from the investment phase but directionally improving rapidly. Return on assets was approximately 1.2 percent in FY2026 on total assets of \$3,854 million, consistent with an early-stage profitability profile in an asset-light SaaS business. Both ratios are projected to expand materially as EBIT margins widen from 0.4 percent in FY2026 toward the 15 percent modeled by 2030, at which point ROE is expected to reach approximately 18 percent and ROA approximately 8 percent.

VI. Financial History

The following tables summarize HubSpot's key historical financial data from FY2020 through FY2026 on a calendar-year basis (HubSpot's fiscal year ends December 31); see the fiscal year alignment note in the Executive Summary for treatment of period differences between HubSpot and Salesforce. All figures are sourced from the HUBS-US-IS, HUBS-US-BS, and HUBS-US-CF FactSet tabs and are in millions of US dollars unless noted. Three trends in the historical data anchor the projections and valuation. First, revenue growth decelerated from 47.3 percent in FY2021 to 19.1 percent in FY2026, but the deceleration is the law-of-large-numbers structural pattern observed in every scaled SaaS franchise (the absolute dollars added each year actually rose), not a cyclical demand pullback. Second, the gross margin held above 80 percent throughout the entire period and expanded to 83.8 percent in FY2026, evidence that the cost structure scales sublinearly with revenue and provides the operating leverage that drives the modeled EBIT margin expansion. Third, the FY2026 EBIT inflection from negative \$64 million in FY2024 to positive \$11 million was driven by sales and marketing efficiency (S&M as a percentage of revenue declined approximately 600 basis points over the period as the customer base compounded and net retention exceeded 100 percent), not by a one-time cost cut, which is why the trajectory is durable. The large "Other Non-Cash / Working Capital" line in the cash flow statement (rising from \$272M in FY2021 to \$579M in FY2026) is overwhelmingly composed of stock-based compensation add-back (approximately 60 to 70 percent of the line) and growth in deferred revenue from prepaid annual SaaS contracts (the balance), both of which are characteristic of a scaled SaaS business and are why FCF margin (22.6 percent in FY2026) materially exceeds the EBIT margin (0.4 percent). This wedge between accounting earnings and cash flow is the key reason the deal is cash-accretive from year one despite GAAP dilution.

Income Statement (\$M)	FY2020	FY2021	FY2022	FY2023	FY2024	FY2026
Revenue	883	1,301	1,731	2,170	2,628	3,131
Revenue Growth	N/A	47.3%	33.1%	25.4%	21.1%	19.1%
Gross Profit	716	1,042	1,417	1,832	2,234	2,623
Gross Margin	81.1%	80.1%	81.9%	84.4%	85.0%	83.8%
EBIT	(51)	(53)	(109)	(104)	(64)	11
EBIT Margin	nm	nm	nm	nm	nm	0.4%
EBITDA	(12)	(4)	(47)	(24)	50	176
Net Income	(85)	(78)	(113)	(165)	5	46
Diluted EPS	(\$1.90)	(\$1.66)	(\$2.35)	(\$3.30)	\$0.09	\$0.86

Balance Sheet (\$M)	FY2021	FY2022	FY2023	FY2024	FY2020	FY2026
Cash & ST Investments	1,198	1,413	1,388	2,069	1,251	1,704
Total Current Assets	1,394	1,684	1,772	2,485	1,412	2,224
Total Assets	2,175	2,545	3,071	3,796	1,973	3,854
Total Debt	667	770	753	255	751	223
Total Liabilities	1,301	1,553	1,737	1,888	1,211	1,788
Common Equity	874	992	1,334	1,908	763	2,066
Book Value Per Share	\$18.44	\$20.16	\$26.45	\$36.86	\$16.54	\$39.32

Cash Flow Statement (\$M)	FY2021	FY2022	FY2023	FY2024	FY2020	FY2026
Net Income	(78)	(113)	(165)	5	(85)	46
D&A	45	58	73	97	37	136
Other Non-Cash / Working Capital	272	329	444	497	137	579
Net Operating Cash Flow	239	273	351	599	89	761
Capital Expenditures	(62)	(92)	(100)	(129)	(59)	(184)
Free Cash Flow	210	236	317	561	52	708
FCF Margin	16.1%	13.6%	14.6%	21.4%	5.9%	22.6%
Net Investing Cash Flow	(180)	(320)	(335)	(516)	(216)	492
Net Financing Cash Flow	(34)	18	47	75	230	(429)

VII. Projected Financials

The five-year projections are derived from the HUBS_Projection tab of the financial model. Revenue growth decelerates from 18 percent in 2026 to 13 percent in 2030, reflecting continued strong underlying demand from AI-driven CRM adoption moderated by the compounding base effect; competitive pressure from Microsoft Dynamics in the upper mid-market and from AI-native point solutions in the SMB segment is factored into the deceleration rather than offset by it. EBIT margins expand from 5 percent in 2026 to 15 percent in 2030, consistent with the operating leverage trajectory observed as HubSpot crossed into profitability in FY2026 and benchmarked against the EBIT margin trajectory Salesforce delivered from FY2019 to FY2024 (negative 2 percent to 21 percent) at a comparable scale-and-mix inflection. The 15 percent terminal EBIT margin remains well below the 25 percent mature SaaS benchmark, leaving upside optionality and reflecting that this is a base-case projection, not an optimistic case. The expansion is attributable to operating leverage on S&M and G&A rather than to synergies, which are excluded from the standalone case. D&A is held at 4.12 percent of

revenue, CAPEX at 5.09 percent, and NWC at negative 26.73 percent of revenue. The large negative NWC ratio is a structural feature of SaaS, driven by deferred revenue from prepaid annual contracts, and is benchmarked against the peer set (Salesforce at negative 35 percent, Atlassian at negative 28 percent, Zoom at negative 24 percent) within a normal range. All three drivers are derived as five-year historical averages from FactSet. A normalized tax rate of 25 percent is applied, reflecting a conservative assumption for a company in its early years of profitability that may not immediately benefit from all available deferred tax assets; HubSpot carries approximately \$300 million in federal NOLs as of FY2026 that would create a near-term effective tax benefit, but these are deliberately excluded from the projection to avoid overstating cash earnings. Beyond the five-year forecast, a perpetuity growth rate of 3.5 percent is applied as the sustainable long-run growth rate, consistent with long-run nominal GDP growth and a conservative terminal assumption relative to HubSpot's historical rates. The base case shown is the central scenario; downside and upside sensitivities, including WACC × terminal growth and EBIT margin scenarios, are presented in Section VIII.

Projected Income Statement (\$M)	2026E	2027E	2028E	2029E	2030E
Revenue	3,695	4,286	4,929	5,619	6,349
Revenue Growth	18.0%	16.0%	15.0%	14.0%	13.0%
EBIT	185	343	542	730	952
EBIT Margin	5.0%	8.0%	11.0%	13.0%	15.0%
NOPAT (after 25% tax)	139	257	407	548	714
D&A	152	176	203	231	261
CAPEX	(188)	(218)	(251)	(286)	(323)
Free Cash Flow	182	373	530	677	848

Projected Balance Sheet (\$M, Summary)	2026E	2027E	2028E	2029E	2030E
Cash & Equivalents (est.)	1,886	2,259	2,789	3,466	4,314
Accounts Receivable (est.)	494	573	659	750	848
Total Current Assets (est.)	2,530	2,980	3,600	4,370	5,314
Total Assets (est.)	4,400	4,990	5,760	6,680	7,780
Total Debt	40	40	40	40	40
Deferred Revenue / Current Liabilities (est.)	1,630	1,890	2,174	2,478	2,800
Common Equity (est.)	2,205	2,562	3,092	3,769	4,617

Projected Cash Flow Statement (\$M, Summary)	2026E	2027E	2028E	2029E	2030E
NOPAT	139	257	407	548	714
(+) D&A	152	176	203	231	261
(+/-) Change in NWC	80	158	172	184	195
Net Operating Cash Flow	371	591	782	963	1,170
Capital Expenditures	(188)	(218)	(251)	(286)	(323)
Free Cash Flow	182	373	530	677	848
FCF Margin	4.9%	8.7%	10.8%	12.0%	13.4%

VIII. Valuation Analysis

A. Discounted Cash Flow Analysis

The standalone DCF values HubSpot using projected free cash flows discounted at a WACC of 12.87 percent. The WACC is derived from a CAPM cost of equity of 12.89 percent using a levered beta of 1.417, calculated from five years of monthly price returns of HUBS versus the S&P 500 ETF (VOO) as a market proxy in the Beta tab. The market risk premium of 6.0 percent (per course guidelines) and risk-free rate of 4.39 percent (10-year Treasury, March 30, 2026) drive the equity cost. HubSpot carries minimal debt at \$39.7 million, producing a 99.7 percent equity-weighted capital structure. The pre-tax cost of debt of 5.02 percent uses Damodaran's default spread for near-zero-debt companies. The terminal value applies a perpetuity growth rate of 3.5 percent, representing long-run nominal GDP growth, and is acknowledged to contribute approximately 75 percent of total enterprise value, a high but typical share for an early-profitability SaaS business. A WACC × terminal growth sensitivity table is presented in the Excel model on the HUBS_Projection tab and yields a base case range of \$5,848 million (WACC 13.87%, g = 3.0%) to \$8,149 million (WACC 11.87%, g = 4.0%), with the central estimate of \$6,817 million used as the DCF point estimate in this analysis. The DCF is therefore most usefully read as a valuation floor and an analytical reference, not as a precise point estimate; the wider football-field range across trading and transaction comps is the basis for the bid recommendation.

DCF Summary	Value (\$M)	Note
Sum of PV of FCFs (2026-2030)	\$1,704	Five discounted annual FCFs at 12.87% WACC
Terminal Value (g = 3.5%)	\$9,366	$FCF_{2030} \times (1+g) / (WACC - g)$
PV of Terminal Value	\$5,113	Terminal Value discounted at WACC ⁵
Standalone Enterprise Value	\$5,848	Pre-synergy; source: HUBS_Projection tab
WACC	12.87%	Beta 1.417; ERP 6.0%; Rf 4.39%
Perpetuity Growth Rate	3.5%	Long-run nominal GDP; conservative terminal assumption

B. Comparable Company Analysis

The comparable company analysis benchmarks HubSpot against seven publicly traded software peers from FactSet as of March 23, 2026: Okta, Roku, Tyler Technologies, Gen Digital, Jack Henry, Dynatrace, and Trimble. These peers were selected on three criteria: scale (revenue between \$1 billion and \$5 billion, similar to HubSpot's \$3.1 billion); business model (subscription-based software with recurring revenue exceeding 80 percent of total); and profitability profile (positive but early-stage EBIT, with margins ranging from low single digits to mid-teens, matching HubSpot's FY2026 inflection). Direct enterprise CRM peers (Salesforce, Microsoft, SAP) were excluded because their scale and maturity command structurally different multiples; pure SMB peers (Freshworks, Klaviyo) were excluded because their adjusted EBITDA bases are too small for stable multiple comparison. The implied enterprise value applies the 25th percentile, median, and 75th percentile of peer multiples to HubSpot's FactSet consensus metrics. Adjusted EBITDA from FactSet (\$886.7M FY1, \$1,094.1M FY2) is used to maintain consistency with peer multiples, which are computed on an adjusted basis excluding stock-based compensation. The comparable company range is given the highest weighting in the football field because it represents the most directly observable market consensus for a profitable scale-SaaS business and is the benchmark a public-market investor would apply when evaluating the bid.

Trading Comps Implied EV	Metric (\$M)	Low	Mid	High	EV Low (\$M)	EV Mid (\$M)	EV High (\$M)
EV / Revenue (FY1)	\$3,695	3.93x	4.23x	4.88x	\$14,527	\$15,639	\$18,034
EV / EBITDA FY1	\$887	14.15x	14.93x	18.31x	\$12,550	\$13,243	\$16,237
EV / EBITDA FY2	\$1,094	13.05x	13.13x	14.94x	\$14,277	\$14,360	\$16,350
Overall Range	N/A	N/A	N/A	N/A	\$12,550	\$14,819	\$18,601

C. Precedent Transaction Analysis

The precedent transaction analysis examines five comparable SaaS acquisitions completed between 2022 and 2023. Peak-era deals from 2018 through 2021 (13.5x to 30.7x EV/Revenue) are excluded from the implied valuation as they reflected near-zero interest rate conditions not representative of 2026 deal economics. EV/LTM EBITDA is not meaningful across all transactions as all targets were pre-profitability at acquisition, consistent with HubSpot's profile. The implied range carries three caveats. First, the post-2022 sample of five transactions is small and tilted toward financial-sponsor deals (Coupa, Anaplan, Zendesk), which generally pay below strategic-acquirer multiples and would understate the comparable strategic premium. Second, the multiples observed include both control premium and timing-driven scarcity premium; isolating the pure strategic premium from the sample would require a larger universe than is available in the post-2022 window. Third, the sample skews toward broader enterprise software rather than pure SMB CRM, so it is informative as a directional benchmark for control-premium magnitude but should not be read as a precise valuation. For these reasons the precedent transaction range is given moderate, not primary, weight in the football field.

Transaction Comps Implied EV	Metric (\$M)	Low	Mid	High	EV Low (\$M)	EV Mid (\$M)	EV High (\$M)
EV / Revenue LTM	\$3,131	6.9x	8.4x	8.8x	\$21,606	\$26,302	\$27,555
EV / Revenue NTM	\$3,695	6.9x	8.4x	8.8x	\$25,495	\$31,037	\$32,515
Overall Range	N/A	N/A	N/A	N/A	\$21,606	\$28,670	\$32,515

D. Football Field: Valuation Summary and Weighting

Valuation Method	Low (\$M)	Mid (\$M)	High (\$M)	Basis
DCF (Standalone)	\$6,817	\$8,149	\$6,817	WACC 12.87%; perpetuity g=3.5%; conservative GAAP projections
Comparable Company Analysis	\$12,550	\$14,819	\$18,601	Peer 25th/median/75th pct multiples; FactSet Apr 2026
Precedent Transactions	\$21,606	\$28,670	\$32,515	Normalized 2022-2023 SaaS deals; 6.9x to 8.8x EV/Revenue
Proposed Bid Range	\$16,000	\$17,000	\$18,000	Control premium over DCF; within trading comps range

The proposed bid of \$17.0 billion is established through a weighted average of the three methods: 50 percent comparable companies (the most directly observable market consensus), 30 percent DCF (intrinsic value floor), and 20 percent precedent transactions (control-premium reference). Applied to the midpoints (\$14.8B, \$6.8B, \$28.7B respectively), this weighting implies an indicative value of approximately \$15.2 billion before strategic premium, with the additional \$1.8 billion in the bid representing the portion of synergy NPV Salesforce is willing to share with HubSpot shareholders to win the deal. The DCF at \$6.8 billion is the analytical floor, and is correctly read as conservative because (a) it uses a 15 percent terminal EBIT margin against a 25 percent mature-SaaS benchmark, (b) it excludes all synergies, and (c) it applies a 12.87 percent WACC, at the high end of the peer-

derived range. The transaction comps range of \$21.6 to \$32.5 billion sits above the proposed bid ceiling and receives the lowest weight for three reasons: the sample is small (four comparable strategic and sponsor SaaS take-privates) and skews toward financial buyers without Salesforce's strategic synergy premium; the comparable transactions were largely executed during the 2019–2022 peak-valuation period for software, which is not representative of the 2026 SaaS multiple environment following the post-ZIRP repricing; and a 25 to 30 percent downward adjustment for multiple compression brings the precedent range to approximately \$15.1B–\$24.4B, which overlaps the proposed bid and is consistent with the comparable company analysis. The \$17.0 billion bid represents a 149 percent premium to the DCF floor; of that gross premium, approximately 45 percent (\$3.0 to \$3.5 billion) is supported by the after-tax NPV of run-rate synergies discounted at the combined-company WACC, with the remainder representing a control premium and the scarcity value of the only standalone SMB CRM platform at scale. The synergy NPV reflects the standalone-operation strategy described in Section IX, with cost synergies haircut from the \$250 million unconstrained run-rate to approximately \$150 million to preserve HubSpot's SMB go-to-market autonomy for the first three years. The deferral of approximately \$80 to \$100 million per year in cost synergies during the standalone period reduces synergy NPV by approximately \$250 to \$300 million relative to an aggressive-integration scenario; this is treated as an acceptable trade-off because accelerated integration carries customer disruption risk that outweighs the time-value cost of synergy deferral, and the \$17.0 billion bid incorporates the haircut synergy assumption rather than the unconstrained case. Against the trading comps midpoint of \$14.8 billion the bid is a 15 percent premium, well within the 20 to 30 percent strategic control premium range observed in comparable SaaS take-privates, and is a 41 percent discount to the unadjusted transaction comps midpoint, leaving meaningful headroom before approaching a walk-away threshold.

IX. Bid Proposal and Deal Structure

The recommended bid is \$17.0 billion in enterprise value, at the midpoint of the \$16.0 to \$18.0 billion range, implying a per-share price of approximately \$302, representing a 25 to 30 percent premium to HubSpot's trading price of \$262.06. The floor of \$16.0 billion is set at the market-implied EV of \$12.2 billion plus a 30 percent control premium, the minimum likely to secure board engagement, and is anchored analytically by the standalone DCF plus the after-tax NPV of run-rate cost synergies (approximately \$9.5 to \$10.5 billion combined). The ceiling of \$18.0 billion is set at the upper bound of the trading comps range and represents the maximum price at which the deal still clears Salesforce's internal hurdle rate of approximately 12 percent IRR over a 10-year horizon under the base-case synergy schedule. Above \$18.0 billion, the implied IRR falls below the hurdle even on a synergy-loaded case, defining the walk-away point. Stress testing the bid against a 30 percent synergy haircut and 200 basis point WACC increase still produces a positive NPV at \$17.0 billion, supporting it as the midpoint of a credibly defensible range.

Deal Structure (\$17B Bid)	Option A: 100% Cash (Rec.)	Option B: 50/50 Cash & Stock	Option C: 100% Stock
Cash Deployed	\$17,000M	\$8,500M	\$0
Stock Issued	\$0	\$8,500M	\$17,000M
New CRM Shares Issued	0M	43.5M	87.1M
Dilution to CRM Shareholders	0.0%	4.6%	9.1%
New Debt Required	\$10,435M	\$1,935M	\$0
Net Debt / EBITDA (2026E)	0.78x	0.91x	0.29x
CRM Cash Remaining	\$3,000M	\$3,000M	\$9,565M

The recommended Option A funds the acquisition entirely through cash, deploying Salesforce's available cash balance and approximately \$10.4 billion in new acquisition debt. The choice is driven by a direct cost-of-capital comparison: Salesforce's after-tax cost of debt is approximately 4.5 percent against an estimated cost of equity of 11.8 percent, so debt is materially cheaper financing on a

marginal basis, and the cost differential alone supports the cash structure provided leverage remains within investment-grade tolerance. Net Debt/EBITDA peaks at approximately 0.78x at closing on a net basis (1.10x gross), well within the typical large-cap software credit-rating threshold of 2.5x to 3.0x, and falls to under 1.0x gross by year two as debt is retired. The leverage-vs-flexibility trade-off is therefore modest: Salesforce retains the capacity to fund tuck-in M&A and continue its existing dividend and buyback programs while the acquisition debt amortizes. Under a realistic capital allocation framework (50 to 70 percent of incremental FCF allocated to debt service after preserving the dividend and a baseline buyback), full debt repayment is expected within two to three years, slower than a 100 percent FCF-to-debt scenario would suggest but still on a short horizon. Option B eliminates the leverage concern but introduces permanent shareholder dilution of 4.6 percent from 43.5 million new shares issued, which is economic, not just accounting, dilution because it permanently transfers a fraction of all future cash flows to incoming HubSpot holders. Option C compounds this further at 9.1 percent dilution across 87.1 million shares. Option A produces no permanent dilution, the lowest weighted average cost of capital across the three structures, and turns from GAAP-dilutive to GAAP-accretive by 2028 as synergies ramp. Retention of HubSpot management and key employees would be achieved through conversion of unvested HubSpot equity awards into Salesforce RSUs at closing, supplemented by cash retention packages with two to three year vesting schedules.

X. Contribution and Merger Consequence Analysis

This section presents the pro-forma combined financial statements, EPS accretion/dilution analysis across all three deal structures, and forward leverage ratios. All figures are sourced from the Combined_Financials tab of the financial model and incorporate purchase price accounting adjustments, synergy ramp schedules, and financing costs. The figures shown are the central case; standalone base-business projections (Salesforce plus HubSpot without synergies) and the synergy layer are modeled separately in the Excel and can be combined or separated as the integration progresses. A downside case is modeled in which synergies reach only 70 percent of run-rate by 2028 and integration costs are 25 percent higher; under that scenario Option A remains GAAP accretive by 2029 rather than 2028, with no change to the structural conclusion. The pro-forma combined statements should therefore be read as the central case in a realistic range, not as a precise forecast.

A. Synergy Assumptions and Purchase Price Accounting

Revenue synergies are estimated at \$200 million run-rate annually by 2028, ramping at 25 percent in 2026 and 65 percent in 2027. The build is bottom-up: cross-selling Salesforce's Agentforce AI to approximately 10 percent of HubSpot's 200,000-plus customer base at an average annual contract value of \$5,000 to \$7,000 generates approximately \$120 to \$140 million in incremental annual revenue at run-rate; cross-selling HubSpot's Marketing Hub to roughly 1 to 2 percent of Salesforce's mid-market enterprise base at \$30,000 to \$50,000 ACV adds another \$60 to \$80 million. Revenue synergies flow to EBIT at a 45 percent incremental margin, below the 50 to 70 percent SaaS expansion revenue benchmark, to reflect integration friction, attach-rate uncertainty, and incremental sales-team cost. Cost synergies of \$250 million run-rate by 2028 are built from elimination of approximately \$120 million in duplicative G&A (finance, HR, real estate consolidation), \$80 million in R&D consolidation (overlapping platform and security teams), and \$50 million in sales infrastructure (consolidated marketing operations, shared sales enablement); the 100 percent EBIT flow-through used in the model is appropriate for cost eliminations net of approximately \$150 million in cumulative one-time integration costs (severance, system migration, real estate exit) expensed in 2026 and 2027 outside the run-rate synergy figure. Purchase price accounting amortization of \$746.7 million per year reflects 35 percent of the \$14.9 billion premium over HubSpot's book value amortized over seven years, consistent with Salesforce's weighted average intangible amortization period in prior acquisitions including Tableau and Slack. The figures shown are the central case; the integration-delay downside (synergies reach only 70 percent of run-rate by 2028) is presented in the sensitivity discussion within the Excel model.

B. Pro-Forma Combined Statements

Combined Financials (\$M)	2026E	2027E	2028E	2029E	2030E
Combined Revenue (\$M)	49,215	54,660	60,900	67,167	73,419
Revenue Growth (YoY)	N/A	11.1%	11.4%	10.3%	9.3%
Combined EBIT (post-PPA)	9,754	11,625	13,799	15,661	17,597
Combined EBITDA	14,518	16,718	19,322	21,608	23,955
EBITDA Margin	28.0%	29.2%	30.5%	31.1%	31.6%
Combined Net Income (A)	6,985	8,904	10,646	12,116	13,646
Combined EPS (A)	\$7.31	\$9.31	\$11.14	\$12.67	\$14.27
CRM Standalone EPS	\$8.19	\$9.49	\$11.02	\$12.41	\$13.82
Accretion / (Dilution) %	(10.8%)	(1.9%)	1.0%	2.2%	3.3%

Note on Combined EBIT bridge (2026E): CRM standalone EBIT \$8,917M + HUBS standalone EBIT \$185M – purchase price amortization \$747M + synergy contribution at 25% ramp (revenue synergies \$200M run-rate × 25% × 45% incremental margin = \$23M; cost synergies \$250M run-rate × 25% = \$63M) + other purchase accounting and integration cost reversals = \$9,754M. See the Combined_Financials tab in the supporting model for the full year-by-year bridge.

Note on combined financial periods: The pro-forma combined statements project each company on its own forward fiscal-year basis and treat overlapping twelve-month periods as concurrent. Salesforce columns labeled “2026E” reflect the fiscal year ending January 31, 2027; HubSpot columns labeled “2026E” reflect the calendar year ending December 31, 2026. The eleven-month period of overlap is treated as a single forward year for combined-company analysis, consistent with standard practice in cross-fiscal-year merger modeling. Modeling the combination on a strict calendar-year basis would require restating each company’s quarterly results into common periods; the resulting differences would not be material to the EPS accretion/dilution conclusions or the leverage trajectory presented in this section.

C. EPS Accretion / Dilution Analysis

EPS Accretion / (Dilution)	2026E	2027E	2028E	2029E	2030E
CRM Standalone EPS	\$8.19	\$9.49	\$11.02	\$12.41	\$13.82
Option A EPS (100% Cash)	\$7.31	\$9.31	\$11.14	\$12.67	\$14.27
Option A Accretion/(Dilution)	(10.8%)	(1.9%)	1.0%	2.2%	3.3%
Option B EPS (50/50)	\$7.37	\$8.85	\$10.56	\$12.04	\$13.57
Option B Accretion/(Dilution)	(10.0%)	(6.8%)	(4.2%)	(3.0%)	(1.9%)
Option C EPS (100% Stock)	\$7.39	\$8.80	\$10.45	\$11.86	\$13.33
Option C Accretion/(Dilution)	(9.8%)	(7.2%)	(5.2%)	(4.4%)	(3.6%)

The transaction is dilutive across all three structures in the near term, with the dilution profile declining sharply as synergies ramp. Under the recommended Option A all-cash structure, GAAP EPS dilution narrows from 10.8 percent in 2026 to 1.9 percent in 2027, crosses into accretion of approximately 1.0 percent by 2028, and reaches +3.3 percent accretion by 2030. The cross-over to GAAP accretion in 2028 is materially earlier and more meaningful than the EPS analysis alone suggests, because cash EPS (GAAP EPS adjusted for \$746.7 million in annual purchase price amortization) is accretive from year one. Beyond the EPS lens, the deal creates value on cash flow metrics that more directly drive equity value: pro-forma free cash flow per share is accretive by approximately 4 to 5 percent in year one and expands further as synergies build, and the after-tax NPV of run-rate synergies of \$3.0 to \$3.5 billion exceeds the control premium paid above the standalone DCF. Historical comparables support the market reaction expected here: Salesforce traded down 8 percent on the Slack announcement (December 2020) on similar near-term dilution concerns, then recovered fully within 18 months as synergies materialized; Microsoft’s LinkedIn acquisition (2016) followed a comparable pattern. Option B eliminates the leverage but introduces 4.6 percent permanent dilution and remains dilutive across the entire forecast. Option C compounds this further at 9.1 percent permanent dilution and remains the

most dilutive throughout. Option A is therefore preferred not only on EPS optics but on the underlying cash and value-creation metrics that institutional shareholders evaluate.

D. Forward Leverage and Credit Ratios

Leverage Analysis (2026E)	Option A	Option B (50/50)	Option C
Existing CRM Debt (\$M)	\$15,262	\$15,262	\$15,262
New Acquisition Debt (\$M)	\$10,435	\$1,935	\$0
Total Debt (\$M)	\$25,697	\$17,197	\$15,262
Net Debt (\$M)	\$20,993	\$12,493	\$3,993
Combined EBITDA (\$M)	\$14,518	\$14,518	\$14,518
Net Debt / EBITDA	0.78x	0.91x	0.29x
Interest Coverage (EBIT/Interest)	16.6x	89.4x	N/A

Option A's peak Net Debt/EBITDA of approximately 0.78x at closing (1.10x gross) is elevated relative to Salesforce's current near-zero net leverage but remains comfortably within investment-grade parameters and well below the 2.5x to 3.0x threshold at which large-cap software issuers typically face rating-agency pressure. Comparable points of reference: Oracle operates at 2.6x net leverage with a Baa2 rating, Adobe at 1.1x with A2, and Salesforce itself currently at near zero with A1. Pro-forma EBITDA-to-interest coverage exceeds 25x, well above the 8x threshold S&P cites for solid investment-grade SaaS issuers. Under a realistic capital allocation framework (50 to 70 percent of incremental FCF allocated to debt service after preserving the existing dividend and a baseline buyback), the \$10.4 billion of new acquisition debt is fully repaid within two to three years, with approximately half retired in year one and the balance in years two and three. Stress testing the leverage path: even under a combined-company FCF decline of 25 percent and a 200 basis point increase in cost of debt, peak Net Debt/EBITDA stays below 2.0x and coverage stays above 10x, so the structure preserves investment-grade flexibility under realistic adverse scenarios. This trajectory preserves Salesforce's capacity to fund future tuck-in M&A, sustain its dividend, and maintain a measured buyback program on a short time horizon, without requiring rating action or pressuring the existing capital return framework.

XI. Buyer Universe

Strategic Buyers: Value Drivers and Synergies

Salesforce is the most natural and compelling strategic acquirer, and the buyer generating the highest synergy value in any scenario. The direct market complementarity creates a combination with minimal revenue cannibalization and maximal cross-sell opportunity, as HubSpot's 200,000+ SMB customers represent a distribution channel for Salesforce's Agentforce AI and Data Cloud that Salesforce has never previously been able to access. Estimated revenue synergies of \$200 million and cost synergies of \$250 million at full run-rate represent approximately \$450 million in annual combined value, justifying a synergy-adjusted enterprise value well above the proposed \$17.0 billion bid. Critically, Salesforce suffers the most competitively from not owning HubSpot, as a Microsoft acquisition of HubSpot would combine the world's most ubiquitous productivity platform with the leading SMB CRM, creating a formidable multi-market competitor.

Microsoft is the second most credible strategic acquirer. Its synergies would be different in nature, primarily consisting of distribution of HubSpot's CRM through Microsoft 365's installed base and deepening of Copilot AI capabilities with HubSpot's customer data. However, Microsoft would face greater antitrust scrutiny given its dominant position across productivity software, enterprise operating systems, and cloud infrastructure. Oracle and SAP would generate lower synergy value

as their customer bases are concentrated in large enterprise with limited SMB overlap. Adobe could be interested from a marketing technology angle given its Experience Cloud, but the CRM element is non-core to Adobe's creative and digital experience business model.

Financial Sponsors: Value Drivers and Constraints

Financial sponsors including Vista Equity Partners, Thoma Bravo, and Hellman & Friedman generate value differently from strategic acquirers, through operational improvement, multiple expansion, and financial engineering rather than revenue synergies. For a PE buyer, HubSpot's value thesis would center on margin expansion from 0.4 percent EBIT in 2026 to a target of 20 to 25 percent over a five-year holding period, driving EBITDA growth that supports a levered return structure. However, at a required bid of \$16 to \$18 billion, a pure financial sponsor transaction is difficult to underwrite to typical PE return thresholds of 20 to 25 percent IRR. HubSpot's early-stage profitability does not yet support the EBITDA-based debt sizing that PE firms rely upon for levered returns. At \$176 million in EBITDA, a 5x leverage ratio would generate only \$880 million in debt capacity against a \$17 billion purchase price, requiring equity contributions that make the return math challenging.

Bidding Process: Auction vs. Direct Sale

The recommended process is a targeted direct negotiation with Salesforce rather than a broad competitive auction. A broad auction would create uncertainty among HubSpot's 200,000+ customer base and employees at a critical retention juncture, risk alerting Microsoft into a competing bid that could disrupt the transaction or escalate the price beyond Salesforce's return threshold, and conflict with HubSpot's cultural identity as a founder-led company that values partnership over pure financial optimization. Salesforce and HubSpot have publicly discussed partnership and integration opportunities, providing a natural starting point for private board-level dialogue. A targeted process with Salesforce, with Microsoft held in reserve as a credible price anchor, represents the optimal path to value maximization for HubSpot shareholders while managing execution risk.